

Research Update:

# Wagamama (Holdings) Ltd. Outlook Revised To Negative From Stable On Weaker Credit Metrics; 'B' Ratings Affirmed

June 25, 2026

## Rating Action Overview

- Following a weaker performance in 2025 than we forecast, we anticipate an unfavorable trading environment to persist. Wagamama (Holdings) Ltd. will face relatively subdued demand, fierce competition, and cost pressures well into 2026, falling short of the improvement we expected when we assigned the initial rating.
- As such, we expect higher leverage than previously estimated of 6.2x - 6.5x in 2026, from 6.9x in 2025, though with some improvement in 2027 to 5.7x-6.1x. We also expect negative, albeit improving, free operating cash flow (FOCF) after leases in 2026. At the same time, Wagamama will likely maintain adequate liquidity with support from a largely undrawn £55 million revolving credit facility (RCF) maturing in 2030.
- We therefore revised the outlook to negative from stable. At the same time, we affirmed our 'B' long-term rating on Wagamama and our 'B' rating on the senior secured notes, with a recovery rating of '3'.
- The negative outlook reflects our view that demand for dine-out and takeaway will not rise enough to improve revenue or profitability significantly for Wagamama, constraining leverage headroom for the current rating. Furthermore, our forecast for adequate liquidity could come under pressure if negative FOCF after leases does not improve.

## Rating Action Rationale

**Wagamama's revenue will likely grow only marginally this year, while S&P Global Ratings-adjusted EBITDA margins grow slightly higher.** S&P Global Ratings expects revenue to grow 3%-4% in 2026 and 4%-6% in 2027 after contracting 4.2% in 2025. In 2025, the transfer of four airport sites to the TRG concessions business depressed revenue by £25 million-£30 million. Excluding this, revenue rose slightly by 1.5% to £480.5 million in 2025 despite a 1.7% annual decline in total like-for-like sales. Additionally, average spend per head declined in the second half of 2025, suggesting a positive impact from pricing actions and a robust performance in new sites.

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In 2026, transaction growth is declining, although market data suggests that spend growth has risen so far. Wagamama's total like-for-like sales declined slightly by 0.5% in the first quarter and then rose by 0.9% in the second quarter through May 7, 2026, with a solid performance for the rest of May anticipated. However, like-for-like total average spend per head continued to decline in the first quarter (by more than 4%) and will likely decline in the second quarter. Overall, transaction spending will weigh on revenue growth despite our expectation of reasonable performance in like-for-like sales and the anticipated success in trading at its new sites. The revenue growth will likely be supported by an agreement with Uber Eats to expand Wagamama's delivery options, with 2027 benefitting from a full year impact of the agreement.

We expect S&P Global Ratings-adjusted EBITDA margin to improve to 17%-17.5% in 2026 and 17.5%-18% in 2027 from 16.6% in 2025. This stems from investments in customer propositions leading to new menu offerings, as well as pricing actions, some of which offset input cost inflation, and lower one-off refinancing and restructuring costs from 2025. The investments into product offerings depressed profitability in 2025, which we expect to reverse in 2026.

**S&P Global Ratings-adjusted EBITDA generation is only expected to improve slightly, and credit metrics are close to our downside threshold.** We expect adjusted debt to EBITDA of 6.2x-6.5x in 2026, and we expect Wagamama to draw on its revolving credit facility to cover large payments through the year, including the interest on its bond. EBITDAR interest coverage will likely be 1.4x-1.5x over the next two years.

The company's key metrics are sensitive to small movements in EBITDA, so any slight underperformance in its operations could increase debt to EBITDA above 6.5x, as it did in 2025. However, adjusted debt will likely benefit from lease liabilities lowering in 2026 to £190 million-£195 million, from £205.2 million in 2025, due to more expensive lease contracts expiring and closed sites in the U.S.

**Moreover, FOCF after leases will likely remain negative in 2026.** In 2026, we expect that working capital outflows will continue to weigh on FOCF, with outflows of £3 million-£5 million related to a buildup of receivables due to the timing of receipts. Further, capital expenditure (capex) will likely marginally step up to £28 million-£30 million as site presence expands. Five to six new sites should open in the U.K. and Ireland in 2026 while sites undergo remodeling in the U.S.

We expect negative FOCF after leases of £6 million-£10 million this year and neutral FOCF after leases in 2027. Total principal lease payments should rise gradually over the next year from £17.7 million in 2025 to about £21 million in 2026 due to new openings and rising rent contract costs. In 2025, FOCF after leases was negative by £20.8 million due to working capital outflows, largely from rising receivables, as well as outflows related to refinancing its capital structure in January 2025. In particular, £14.6 million of intercompany cash sweeps and £2.6 million of outflows related to the restructuring, including bonus payouts and turnover rent from the transfer of the airport sites, were included. We do not expect these to persist given the changes in the group structure post the refinancing. Without the one-off impacts, FOCF after leases would have been marginally negative.

**At this time, liquidity remains adequate.** We do not think Wagamama's liquidity position is currently strained, with sources comfortably exceeding uses. Wagamama still has ample availability to draw on its £55 million RCF, and any impact from working capital changes will likely be small. However, any negative effect on operational performance through the year could pressure metrics, causing Wagamama to draw on its RCF further to fund cash uses and potentially triggering covenant testing.

## Outlook

The negative outlook reflects our view that subdued end-market conditions in 2025 could persist through 2026, leading to adjusted debt to EBITDA of 6.2x-6.5x while FOCF after leases remains negative.

### Downside scenario

We could lower the rating if operating performance deteriorates relative to our current base case. This could come from an adverse shift in consumer demand in the U.K., an inability to pass on higher costs, ineffective working capital management, or more. Specifically, we could lower the ratings if Wagamama:

- Is unable to materially reduce leverage from the elevated levels in 2025; or
- Cannot materially improve its FOCF after leases, weakening its liquidity position.

### Upside scenario

We could revise the outlook to stable if:

- Operating performance strengthens enough to sustain an improvement to leverage and cash flow generation, such that FOCF after leases trends positive; and
- Wagamama maintains ample headroom for adequate liquidity.

## Company Description

Founded in 1991, **Wagamama** is the U.K.'s largest pan-Asian casual dining chain, with 166 owned sites and an international footprint that includes six owned sites in the U.S. and 54 franchised sites primarily across Europe and the Middle East. In 2025, the company reported sales of about £480 million. The company is owned by financial sponsor Apollo Global Management Inc.

## Our Base-Case Scenario

### Assumptions

- GDP grows 1% in 2026 and 1.3% in 2027 in the U.K., Wagamama's key market, which has been revised downward recently. Consumer price index inflation decreases to 2.4% in 2026 and 2.2% in 2027, from 3.4% in 2025.
- Revenue grows 3%-4% in 2026 and 4%-6% in 2027, supported by the continued expansion of new sites in the U.K., franchising, pricing impacts, and the recent partnership with Uber Eats. The company opens five to six new sites in the U.K. and Ireland, eight to ten new franchise sites, and no new sites in the U.S. this year.
- Adjusted EBITDA margins are expected to be 17.0%-17.5% in 2026 and 17.5%-18.0% in 2027, weighed on by persistent food inflation, though Wagamama can minimize pressure through pricing actions and varied menu offerings.
- Working capital outflows of £3 million-£5 million in 2026, turning neutral or slightly positive in 2027 due to Wagamama operating a structurally negative working capital profile with potential inflows supported by the growth of the business.

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- Total annual gross capex is £28 million-£30 million, with a higher proportion funding maintenance and refurbishments rather than growth.
- No dividends are expected to be paid.
- No acquisitions are forecast.

### Key metrics

#### Wagamama (Holdings) Ltd.--Forecast summary

| Period ending                        | 31-Dec 2023 | 31-Dec 2024 | 31-Dec 2025 | Dec-31-2026 | Dec-31-2027 |
|--------------------------------------|-------------|-------------|-------------|-------------|-------------|
| (Mil. GBP)                           | 2023a       | 2024a       | 2025a       | 2026e       | 2027f       |
| Revenue                              | 473.5       | 501.5       | 480.5       | 494-499     | 515-530     |
| EBITDA (reported)                    | 96.1        | 90.1        | 79.1        | 84-87       | 90-95       |
| Plus/(less): Other                   | 0.3         | (1.6)       | 0.5         | --          | --          |
| EBITDA                               | 96.4        | 88.5        | 79.6        | 84-87       | 90-95       |
| Less: Cash interest paid             | (10.0)      | (11.3)      | (40.8)      | (40.1)      | (39.9)      |
| Less: Cash taxes paid                | (0.7)       | 0.0         | 0.0         | 0.0         | 1.0         |
| Funds from operations (FFO)          | 85.7        | 77.2        | 38.7        | 44-47       | 49-54       |
| Cash flow from operations (CFO)      | 49.2        | 63.3        | 24.2        | 38-41       | 49-53       |
| Capital expenditure (capex)          | 26.8        | 40.2        | 27.2        | 28-30       | 28-30       |
| Free operating cash flow (FOCF)      | 22.4        | 23.1        | (3.0)       | 8-13        | 19-25       |
| Debt (reported)                      | 0.0         | 0.0         | 340.4       | 348         | 348         |
| Plus: Lease liabilities debt         | 209.4       | 220.8       | 205.2       | 192.9       | 187.1       |
| Plus/(less): Other                   | 262.3       | 276.9       |             | --          | --          |
| Debt                                 | 471.7       | 497.7       | 545.6       | 540.9       | 535.1       |
| FOCF (after leases)                  | 15.3        | 18.2        | (20.8)      | (10)-(6)    | (4)-1.0     |
| <b>Adjusted ratios</b>               |             |             |             |             |             |
| Debt/EBITDA (x)                      | 4.9         | 5.6         | 6.9         | 6.2-6.5     | 5.7-6.1     |
| FFO/debt (%)                         | 18.2        | 15.5        | 7.1         | 8.0-9.0     | 8.9-10.0    |
| EBITDAR to cash interest + rents (x) | 3.2         | 4.5         | 1.4         | 1.4         | 1.5         |
| FFO cash interest cover (x)          | 9.5         | 7.8         | 1.9         | 2.1-2.2     | 2.2-2.3     |
| Annual revenue growth (%)            | 9.5         | 5.9         | (4.2)       | 3.0-4.0     | 4.0-6.0     |
| EBITDA margin (%)                    | 20.4        | 17.7        | 16.6        | 17.0-17.5   | 17.5-18.0   |

a--Actual. e--Estimate. f--Forecast.

### Liquidity

We assess Wagamama's liquidity as adequate based on the expectation that sources will cover uses by more than 1.2x in the 12 months starting March 31, 2026.

| Principal liquidity sources                                                               | Principal liquidity uses                                                             |
|-------------------------------------------------------------------------------------------|--------------------------------------------------------------------------------------|
| For the 12 months starting March 31, 2026:                                                | For the 12 months starting March 31, 2026:                                           |
| <ul style="list-style-type: none"> <li>• £8.9 million of cash on balance sheet</li> </ul> | <ul style="list-style-type: none"> <li>• Capex of £25 million-£30 million</li> </ul> |

- Availability of £52.5 million under the company's RCF maturing 2030
- Positive cash funds from operations of £20 million-£25 million
- Working capital outflows of up to £5 million
- Seasonal working capital swings of about £10 million

## Covenants

Wagamama's consolidated senior secured debt ratio should not exceed 8.3x (tested quarterly) when the drawn RCF net of cash and cash equivalent exceeds 40% of the total RCF commitments. We expect headroom of at least 20% under this covenant over the next 12 months.

## Environmental, Social, And Governance

Governance factors are a moderately negative consideration in our rating. This is the case for most rated entities owned by private equity sponsors. We think the company's highly leveraged financial risk profile points to corporate decision-making that prioritizes the interests of the controlling owners. This also reflects generally finite holding periods and a focus on maximizing shareholder returns.

Environmental and social factors are a neutral consideration in our rating on Wagamama. The company prioritizes healthier dining relative to some peers in the casual, full-service dining market in the U.K., although consumer habits and demand can shift quickly.

## Issue Ratings—Recovery Analysis

### Key analytical factors

- The £330 million senior secured notes maturing in 2030 are rated 'B' with a '3' recovery rating, reflecting our expectation of average recovery prospects (rounded estimate: 55%). Waga BondCo Ltd. is the issuer of the notes, the parent guarantor is Wagamama (Holdings) Ltd., and the subsidiary guarantor is Wagamama Ltd.
- The rating is constrained by the amount of prior ranking debt, including the £55 million super senior RCF (not rated).
- Our hypothetical default assumes increased competition and reduced demand, as well as economic stress and lower disposable income. This weakens operating performance.
- We value the business as a going concern given its leading position in the U.K. as a pan-Asian casual dining restaurant, where there are 166 existing sites, as well as the franchise operations and the operations in the U.S., which are expected to reduce losses over time and eventually become profitable.

### Simulated default assumptions

- Year of default: 2029.
- Emergence EBITDA after recovery adjustments of £50.8 million.
- EBITDA multiple of 5.0x, in line with industry base multiple.

- Jurisdiction: U.K.

## Simplified waterfall

- Net enterprise value (after 5% administrative expense): £241.4 million
- Priority claims: about £48.3 million
- Net value available to senior secured debt claims: £193.1 million
- Senior secured debt claims: £341.2 million
- --Recovery expectations: 50%-70% (rounded estimate 55%)
- --Recovery rating: 3

\*All debt amounts include six months of prepetition interest. RCF assumed to be 85% drawn at default.

### Wagamama (Holdings) Ltd.--Rating Component Scores

|                                       |  |                       |
|---------------------------------------|--|-----------------------|
| Component                             |  |                       |
| Foreign currency issuer credit rating |  | B/Negative/--         |
| Local currency issuer credit rating   |  | B/Negative/--         |
| Business risk                         |  | Weak                  |
| Country risk                          |  | Low risk              |
| Industry risk                         |  | Intermediate risk     |
| Competitive position                  |  | Weak                  |
| Financial risk                        |  | Highly leveraged      |
| Cash flow/leverage                    |  | Highly leveraged      |
| Anchor                                |  | b                     |
| Modifiers                             |  |                       |
| Diversification/portfolio effect      |  | Neutral/Undiversified |
| Capital structure                     |  | Neutral               |
| Financial policy                      |  | Fs-6                  |
| Liquidity                             |  | Adequate              |
| Management and governance             |  | Moderately negative   |
| Comparable rating analysis            |  | Neutral               |
| Stand-alone credit profile            |  | b                     |

## Related Criteria

- [Criteria | Corporates | General: Recovery Rating Criteria For Corporate Issuers](#), March 31, 2026
- [Criteria | Corporates | General: Sector-Specific Corporate Methodology](#), July 7, 2025
- [Criteria | Corporates | General: Methodology: Management And Governance Credit Factors For Corporate Entities](#), Jan. 7, 2024
- [Criteria | Corporates | General: Corporate Methodology](#), Jan. 7, 2024
- [General Criteria: Environmental, Social, And Governance Principles In Credit Ratings](#), Oct. 10, 2021

- [General Criteria: Group Rating Methodology](#), July 1, 2019
- [Criteria | Corporates | General: Corporate Methodology: Ratios And Adjustments](#), April 1, 2019
- [Criteria | Corporates | Recovery: Methodology: Jurisdiction Ranking Assessments](#), Jan. 20, 2016
- [Criteria | Corporates | General: Methodology And Assumptions: Liquidity Descriptors For Global Corporate Issuers](#), Dec. 16, 2014
- [General Criteria: Methodology: Industry Risk](#), Nov. 19, 2013
- [General Criteria: Country Risk Assessment Methodology And Assumptions](#), Nov. 19, 2013
- [General Criteria: Principles Of Credit Ratings](#), Feb. 16, 2011

## Ratings List

### Ratings List

#### Ratings Affirmed; Outlook Action

|                                                 | To            | From        |
|-------------------------------------------------|---------------|-------------|
| <b><a href="#">Wagamama (Holdings) Ltd.</a></b> |               |             |
| Issuer Credit Rating                            | B/Negative/-- | B/Stable/-- |
| <b><a href="#">Waga BondCo Ltd</a></b>          |               |             |
| Senior Secured                                  | B             |             |
| Recovery Rating                                 | 3(55%)        |             |

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